[Exposure Draft (ED) F1 /2025 of]

AAOIFI Financial Accounting Standard __

# Direct Costs: Determination, Attribution and Reimbursement

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AAOIFI Financial Accounting Standard (FAS) __ "Direct Costs: Determination, Attribution and Reimbursement" is set out in paragraphs 01-21. All the paragraphs have equal authority. This standard should be read in the context of its objective and the "AAOIFI Conceptual Framework for Financial Reporting".

All AAOIFI FASs shall be read in conjunction with the definitions, Shari'ah principles and rules and key considerations provided by AAOIFI Shari'ah Standards (SSs).

## Preface

PR1 As Islamic finance industry continues to evolve in structure and complexity, it has become increasingly important to ensure that the accounting and financial reporting in respect of costs and expenses, and their recoverability / reimbursement, supports both reliable financial reporting and the proper application of Shari'ah principles and rules, in practice.

PR2 Through this Standard, AAOIFI Accounting Board (AAB / the board) seeks to reduce divergence in practice, mitigate the risk of misapplication or misinterpretation of Shari'ah principles and rules arising from accounting treatments, and support the Islamic financial institutions in achieving greater discipline and consistency in pricing, execution and reporting of Shari'ah-compliant transactions. The development of this standard reflects continuing commitment of the board to strengthen the integrity, transparency and consistency of financial reporting within the Islamic finance industry.

# Introduction

## Overview

IN1 This standard entails the principles for the determination, attribution and reimbursement of direct costs (and expenses) incurred by Islamic financial institutions (the institutions / IFIs), in connection with Islamic finance transactions and other Shari'ah-compliant contracts and arrangements. It comprehensively addresses their respective recording, reporting, presentation and disclosure in a fair, transparent and Shari'ah-compliant manner.

IN2 These principles are not only necessary for the purpose of fair and transparent financial reporting, but also, at times, considered relevant for the purpose of ensuring Shari'ah compliance in the execution of certain Shari'ah-compliant transactions and their respective pricing / returns.

## Rationale for issuing this standard

IN3 AAOIFI Accounting Board (AAB / the board), based on certain stakeholders' queries and comments received by the AAOIFI secretariat, identified that there is a need to clarify the accounting and financial reporting requirements for direct costs and expenses (corresponding with the relevant Shari'ah principles and rules applicable to different types of Islamic finance transactions and structures). It was noted that while the core principles with regard to attribution, recoverability, chargeability, etc., of direct costs and expenses, and their inclusion in the product pricing are included in the AAOIFI Shari'ah Standards, there is still a need to provide further guidance on the accounting and financial reporting aspects of the same.

IN4 It was also noted that absence of such guidance on the accounting side, in certain situations, may result in inappropriate interpretation and application of the relevant Shari'ah principles and rules, and hence, accounting guidance is also needed to improve the level of compliance with Shari'ah principles and rules, across the industry.

IN5 Accordingly, the board decided to prescribe all such requirements, at one place, in form of this standard.

# [Exposure Draft (F1 / 2025) of the]
# AAOIFI Financial Accounting Standard (FAS) ___
# Direct Costs: Determination, Attribution and Reimbursement

## Objective of the standard

1. This standard sets out the principles for the determination, attribution and reimbursement of direct costs incurred by Islamic financial institutions (the institutions / IFIs), in connection with Islamic finance transactions and other Shari'ah-compliant contracts and arrangements, and their respective recording, reporting, presentation and disclosure in a fair, transparent and Shari'ah-compliant manner.

## Scope

2. The requirements contained in this standard shall apply to all institutions and Islamic finance transactions and structures.

## Definition

3. For the purpose of interpreting and applying this standard, the following short definitions are relevant:

    a. Contractually attributable costs – are contractually agreed incurred costs, related to participatory ventures / investment pools or Wakala ventures, deducted from revenues to arrive at distributable / allocable profits according to respective accounting policies, in line with Shari'ah principles and rules, generally within specified limits [Explanation: Contractually attributable costs may be acceptable in line with Shari'ah principles and rules in case of participatory (including Al-Wakala Bi Al-Istithmar) transactions, but may not be acceptable in case of transactions involving loan or debt or Ijarah, whereby these are generally considered impermissible];

    b. Direct cost – comprise of directly incurred cost and directly attributable costs;

    c. Directly attributable costs – are such costs (mainly a broader range of overheads) that are not exclusively incurred in connection with the execution of a transaction or venture (including, sales, Ijarah, participatory venture or service), but are closely related and hence, attributable to the same through appropriate allocation methods and estimates of relevance. These may include contractually attributable costs in case of participatory ventures / investment pools or Wakala ventures only (see paragraph 3(a) and shall exclude the element of excess / idle capacity;

    d. Directly incurred cost – are costs that occur as a direct result of execution of a transaction or venture (including, sales, Ijarah, participatory venture, Wakala venture or service) and the same would not have been incurred if such transaction or venture had not taken place;

    e. Expenses incidental to ownership – is a class of directly incurred costs, including expenses, costs and losses incurred exclusively in relation to ownership of an asset, e.g., ownership related taxes, physical losses (e.g., due to damage or theft), financial losses (e.g., due to

changes in market value or obsolescence) and any costs incurred to hedge such losses (e.g., Takaful costs), but does not include operational expenses (that are linked primarily with its respective use or operations) [Explanation: It is worth noting that in case of a participatory venture / investment pool or Wakala venture, expenses incidental to ownership include all such costs incidental to ownership of the assets underlying such a venture / investment pool];

f. Preliminary costs – are costs incurred before the commencement of a transaction, such as feasibility and market studies;

g. Shari'ah principles and rules[1] – comprise "the Shari'ah principles and rules defined by the following hierarchy, as appropriate:

i. the Shari'ah standards issued by Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI);

ii. the regulations issued by the respective jurisdiction's regulator insofar as these entail the regulatory Shari'ah requirements;

iii. the rulings of the central Shari'ah board for the respective jurisdiction [if there is one];

iv. the requirements of the applicable financial accounting standards (FASs) as issued by AAOIFI insofar as these entail Shari'ah related requirements; and

v. the approvals and rulings given by the Shari'ah supervisory board of the institution";

[Explanation: In case of an ambiguity, identified during a compliance, audit or rating exercise, as the case may be, with regard to interpretations related to (i) to (iv) above, the Shari'ah supervisory board's clarification shall prevail.]

## Determination, attribution and reimbursement of direct costs

## Accounting policies

4. An institution shall establish comprehensive accounting policies to govern the determination, attribution and reimbursement of direct costs (including directly incurred costs and directly attributable costs) for all significant products and services in line with Shari'ah principles and rules, particularly, the requirements of this standard read with the requirements of relevant AAOIFI FASs. These policies shall provide clear guidelines for identifying, categorising and allocating direct costs to ensure consistency, transparency and compliance with Shari'ah principles and rules.

5. Additionally, an institution shall establish comprehensive accounting policies in respect of contractually attributable costs, preliminary costs and expenses incidental to ownership in line with the requirements of this standard and the relevant AAOIFI FASs.

[1] AAOIFI GS 1 "Shari'ah Governance Framework"

6. The accounting policies, as well as, the relevant significant judgments and estimates, regarding attribution of directly (and, contractually) attributable costs shall be regularly reviewed and updated to reflect changes in respective business model, product structure and contractual arrangements.

## Recognition of direct costs

### *Service-based contracts – without any form of credit or guarantee*

7. In case of a service-based contract, without having a loan, debt, credit or guarantee in any form attached to the same, whereby a fee is charged, direct costs shall comprise of the directly incurred costs and the directly attributable costs. Any fee in such case shall constitute revenue and the expenses incurred thereagainst shall be part of the appropriate class of expenses.

### *Service-based contracts – with credit or guarantee*

8. In case of a service-based contract, having a structure involving a loan, debt, credit or guarantee in any form attached to the same, normally, as per Shari'ah principles and rules, a fee is allowed to be charged only to the extent of costs incurred against delivery of services. This includes, e.g., service-based credit card structure, issuance of documentary credits and guarantees.

9. Direct costs in such case shall normally comprise of the directly incurred costs only. However, in certain situations, the Shari'ah principles and rules (including the specific approvals of the Shari'ah supervisory board (SSB)) may allow certain directly attributable costs (only to the extent allowed by Shari'ah principles and rules). In these situations, the fee charged, shall be shown in the statement of income as a deduction[2] from the respective costs incurred.

### *Trade-based contracts*

10. Inventory cost in case of trade-based contracts (including, e.g., Murabaha, Salam and Istisna) shall include all costs including all direct costs incurred to bring the inventory in the present condition and location (excluding directly attributable expenses incurred for idle capacity). The inventory cost shall be recognised as an expense in the period in which the related revenue is recognised (when the control of such inventory is transferred to the buyer).

11. In addition to the inventory costs, all remaining direct costs shall be recognised as a part of appropriate class of expenses in the statement of income against the respective revenue during the period in which the same are incurred (irrespective of the recognition of revenue).

12. Expenses incidental to ownership in respect of trade-based contracts are borne, in line with Shari'ah principles and rules, by the institution till the time the control of the inventory (established through risks and rewards incidental to ownership, including possession) is transferred to the buyer. These shall be accounted for in line with the requirements of paragraphs 10-11, as appropriate.

### *Trade-based contracts on a cost-plus basis*

13. In respect of trade-based contracts on a cost-plus basis, the recognition of costs shall be based on the requirements of paragraphs 10-11.

14. Nevertheless, the costs for the purpose of determination of price of a trade-based contract based on a cost-plus basis (e.g., Murabaha[3]) shall include only directly incurred costs. Any additional recovery

[2] Technically, a reimbursement of such costs.

[3] See paragraphs 6 and 22 of FAS 28 "Murabaha and Other Deferred Payment Sales"

of costs from the customer (e.g., contractually or directly attributable costs) may be included (as an element of profit) in the selling price and revenue) if the transaction structure and the contract allow the same in line with Shari'ah principles and rules.

### *Participatory ventures and Wakala ventures*

15. In case of participatory or Wakala ventures (including participatory ventures, Wakala ventures or investment pools, etc.), the direct costs shall be accounted for in the following manner:

    a. reimbursable preliminary costs – that are contractually allowed, in line with Shari'ah principles and rules, to be reimbursed from the counterparty shall be recorded as recoverable from the counterparty and shall be presented on a net basis. However, these do not include any proportion of fee charged for initial assessment services that shall constitute revenue and accounted for in line with the requirements of the relevant AAOIFI FASs[4];

    b. non-reimbursable preliminary costs – that are contractually not allowed to be reimbursed from the counterparty, in line with Shari'ah principles and rules, shall be recorded as an expense during the period in which these are incurred except to the extent that these are contractually agreed, in line with Shari'ah principles and rules, to be included as contributed capital;

    c. directly incurred and contractually attributable costs – in relation to participatory / Wakala venture shall be included as expenses of the respective venture and shall be included in the capital contributed or as recoverable from the respective venture, in line with the contractual arrangements; and

    d. directly (but not contractually) attributable costs – in relation to participatory / Wakala venture shall be recognised as expenses in the period during which these are incurred and shall be presented as a deduction from the share of profit of the institution from the respective venture.

16. During continuity of a participatory or Wakala venture or investment pool, it shall be ensured that:

    a. the direct costs of the venture, particularly including operational costs, trading losses, impairment of assets and expected credit losses on receivables are considered while computing the profit or loss of the venture; and

    b. no expenses other than direct costs or contractually attributable costs are charged to the respective venture.

17. Principles contained in paragraphs 15-16 shall also apply in case of a participants Takaful fund (PTF) established by a Takaful institution[5] or any other similar structure.

### *Ijarah- / lease-based contracts*

18. In case of Ijarah- / lease-based contracts (including different forms and structures of assets Ijarah), the direct costs shall be accounted for in the following manner:

[4] FAS 31 "Investment Agency (Al-Wakala Bi Al-Istithmar)"
[5] FAS 43 "Accounting for Takaful: Recognition and Measurement"

a. directly incurred costs – that are incurred before putting the asset to the usable condition and transferring its usufruct to the lessee as part of the cost of the asset and, accordingly, to be depreciated over its useful economic life;

b. direct costs – that constitute expenses incidental to ownership, which are borne by the lessor in line with Shari'ah principles and rules, and hence, accounted for as expenses incurred in connection with the Ijarah transaction in line with the requirements of the respective AAOIFI FAS[6]. If a supplementary rental or similar mechanism is followed, in line with Shari'ah principles and rules, to somehow recover (or to compensate for) such costs, the same shall be considered as Ijarah revenue and shall be accounted for in line with the requirements of the respective AAOIFI FAS[7], and shall not be netted-off with the costs incurred; and

c. direct costs – that constitute expenses incidental to operations of Ijarah asset[8], that are borne by the lessee in line with Shari'ah principles and rules, if incurred by the lessor, shall be recorded as recoverable from the lessee.

19. In case of proportionate ownership of Ijarah asset, the requirements of paragraph 18 shall be applied on a proportionate basis.

## Presentation and Disclosure[9]

20. In addition to the disclosure requirements stated in FAS 1: "General Presentation and Disclosure in the Financial Statements of Islamic Banks and Financial Institutions" and the relevant requirements of the relevant AAOIFI FASs addressing the specific disclosure requirements of costs / expenses incurred in respect of respective transaction structures, following are the minimum disclosure requirements in to be presented in the notes to the financial statements:

a. the accounting policies and respective significant judgements and estimates with regard to the recording and reporting of direct costs, in respect of different types of transaction structures;

b. composition and break-up of costs / expenses directly and / or contractually attributed and charged to significant participatory / Wakala ventures and investment pools (separately for on-balance-sheet and off-balance-sheet ventures / investment pools), as applicable;

c. reimbursements of direct costs from the counterparties in respect of service-based contracts (with credit or guarantee) to be presented as a deduction from respective direct expenses (including, a net negative balance, where applicable) (see paragraphs 8-9).

[6] FAS 32 "Ijarah"
[7] FAS 32 "Ijarah"
[8] See paragraph 47 of FAS 32 "Ijarah".
[9] It is important to note that the AAOIFI FASs deal with the presentation and disclosures in the financial statements of an institution, and hence, appropriate disclosures to the counterparties and other stakeholders with regard to such costs are the domain of AAOIFI Governance Standards (GSs) which require fair and transparent disclosures to the counterparties and other stakeholders. It is understood that the requirements of the relevant AAOIFI GSs shall be followed by the institutions to maintain fairness and transparency, along with upholding the requirements of Shari'ah principles and rules.

## Effective date

21. This standard shall be effective on the financial statements for the annual financial reporting period beginning on or after 01 January 2028. Early adoption of the standard is encouraged.

# Appendices

## Appendix A: Adoption of the standard

This standard was presented for the approval in the ___ AAOIFI Accounting Board meeting held on __ ___ __H, corresponding to __ ___ __ and was duly approved.

### Members of the board

1. Mr. Hamad Abdulla Al Oqab – chairman
2. Mr. Syed Najmul Hussain – deputy chairman
3. Prof. Abdul Razzak Kasem
4. Mr. Abdulkadir Farah
5. Dr. Abdulrahman M. Alrazeen
6. Dr. Bello Lawal Danbatta
7. Mr. Firas Hamdan
8. Mr. Irshad Mahmood
9. Mr. Kazim Merchant
10. Ms. Khawla Ahmed Ebrahim
11. Mr. Muhammad Ali Latif
12. Dr. Mohamed Albeltagi
13. Mr. Saud Al Busaidi
14. Mr. Sezayi Toprak
15. Mr. Wael Mirza

### Reservation

The standard was approved unanimously.

## Working group members

1. Dr. Mohamed Albeltagi – Chairman
2. Dr. Abdulrahman M. Alrazeen
3. Mr. Abdullah Khaldy
4. Mr. Ashraf Hashim
5. Dr. Bello Lawal Danbatta
6. Mufti Hassan Usmani
7. Dr. Mohammed Burhan Arbouna
8. Dr. Mohammad Qaseem
9. Mr. Saud Albusaidi
10. Mr. Yusuf Ahmed
11. Prof. Abdul Razzak Kasem

## Executive team

1. Mr. Omar Mustafa Ansari (AAOIFI)
2. Mr. Mohammad Majd Bakir (AAOIFI)
3. Mr. Haroon Tabraze (Principal Advisor for Capacity Building, Research and Development)
4. Ms. Saira Shamsie (Senior Consultant-Researcher)

## Appendix B: Basis for conclusions

### [to be added]

BC1 [to be added]

## Appendix C: Illustrative examples of direct costs / expenses and their permissibility / treatment under the requirements of relevant AAOIFI Shari'ah Standards (SSs)

| Product / service | Expenses permissible under the AAOIFI SSs |
|---|---|
| Debit card / credit card | SS 61 Payment Cards<br>▪ Fees that are not permitted to be more than the actual direct cost and such fees are the ones charged by the card issuer from the cardholder and are linked to the loan in the credit card, such as fees of issuance, renewal and replacement, fee of cash withdrawal from ATMs of the issuing institution, fee of limit increase, and fees for converting the used amounts into instalments. Also, the cost of currency exchange if the card was used in a currency other than the currency of the card. [5/1/1]<br>▪ Fees not restricted to be the actual cost, rather they can be as per the agreement, and they are, except for the above, for example:<br>o The fees that are charged by the acquirer from the card acceptor, and part of it may go to the card issuer and card network provided the cardholder shall not bear such fees in cards based on lending.<br>o Subscription fees and service charges paid by the card issuer to the card network.<br>o Fees charged by the card issuer in cards that do not involve lending, such as [fees on] the cash withdrawal, card issuance, renewal, replacement, limit increase or exchange rate, etc.<br>o The fees charged by the Institution, as the owner of the ATM, for cash withdrawal or other services delivered using the machine in case the Institution was not the card issuer.--- [5/2]<br>▪ It is permitted to provide the cardholder benefits permissible as per Shari'ah for free such as gifts, giving priority to the cardholder to get services, receive discounts on the prices while making bookings at the hotels, airlines, or restaurants, receiving air-miles, talk times, free night stay at hotels, receiving cash back as a percentage of the price merchandises or services, and so on. --- In the case of lending-based card, it is not permitted to increase its fees beyond the actual cost of such features. [5/6/2]<br>▪ Taking possession of the goods by the buyer will constitute its possession, the basis of principle implies that the expenses of returning are on the party which took the possession. [5/7 (2)]<br>▪ Actual Direct Cost in Cards based on Lending: is what is paid by the card issuer to a third party for the purpose of issuing, delivery, carrying operations of the card and recovery of the due amount from the cardholder, such as the fee amounts to be paid to the card scheme network, charges of card delivery, amounts paid to ATM owners (other than the issuer), amounts paid to recovery agencies as well as lawyers etc. In case these charges were shared with other cards, then it should be estimated on proportionate basis provided the estimation is fair. The actual direct cost does not include the cost of funds, opportunity cost, salaries of staff, rent of premises, furniture or transport means, and similar general and administrative expenses of the issuer. Refer to the Item No. (9/2) of |

| Product / service | Expenses permissible under the AAOIFI SSs |
|---|---|
| | the Shari'ah Standard No. (19): Loans. In case of confusion in estimating any item of the actual direct cost, then precaution is required to take the lower to rule out the side of prohibition, because the card is based on lending. In all the cases, it is not permitted to realize profits for the issuer from claiming this cost. [Annexure C] |
| Debt | SS 3 Procrastinating Debtor<br>▪ Procrastinating debtor is liable for legal and other expenses incurred by the creditor in order to recover his debt. [2/1/4] |
| Guarantee | SS 5 Guarantees<br>▪ -- The guarantor is, however, entitled to claim any expenses actually incurred during the period of a personal guarantee -- [3/1/5]<br>▪ Asking an applicant for a letter of guarantee to bear administrative expenses incurred in issuing a letter of guarantee of either type (i.e. preliminary or final) is permissible in Shari'ah, provided the remuneration for such expenses do not exceed the commission that others would charge for such services. [6/1/2] |
| Murabaha | SS 8 Murabaha<br>▪ It is not permissible for the Institution to receive a commitment fee from the customer. [2/4/1]<br>▪ It is not permissible for the Institution to receive a fee for providing a credit facility. [2/4/2]<br>▪ The expenses of preparing the documents of the contract between the Institutions and customer are to be borne evenly by the two parties (the institution and the customer), provided they do not agree that the expenses are to be borne wholly by one party, unprovided those expenses are proportional to the actual amount of work involved, so that they do not implicitly include a commitment fee or a facility fee. [2/4/3]<br>▪ If the Murabaha is carried out by means of syndicated financing, the Institute which acts as arranger of the syndicate is entitled to an arrangement fee to be paid by the participants in the syndicate. [2/4/4]<br>▪ It is permissible for an Institution to receive a fee for a feasibility study that it undertakes in case such study is requested by the customer and for the benefit thereof and the customer agrees to pay the fee thereof. The customer is entitled to a copy if he so requires. [2/4/5]<br>▪ --- The Institution is entitled to include the expenses of insurance in the Murabaha cost price to be subsequently added to the price of Murabaha. Insurance must be on the basis of the Takaful whenever possible. [3/2/6]<br>▪ ---- The Institution is also entitled to include any expenses relating to the item if this is acceptable to the customer. However, if the Institution failed to disclose any expenses, it is not entitled to include them unless they are customarily considered as normal |

| Product / service | Expenses permissible under the AAOIFI SSs |
|---|---|
| | expenses, such as transportation expenses, storage expenses, fees for letters of credit and insurance premiums. [4/3]<br>▪ The institution is not entitled to include in the base cost of the item, for the purpose of calculating Murabaha price, any amounts other than the direct expenses paid to a third party. It is not permissible, for example, for the Institution to add to the cost of the item payments made to its own staff for their work, and the like. [4/4] |
| Ijarah and Ijarah Muntahia-bittamleek | SS 9 Ijarah and Ijarah Muntahia-bittamleek<br>▪ ---The lessor may take out permissible insurance on it whenever possible, and such insurance expenses must be borne by the lessor. The lessor may take this into account implicitly when rental is to be fixed. ---- [5/1/8] |
| Istisna contract | SS 11 Istisnna and parallel Istisnna<br>▪ The ultimate purchaser bears the expenses for the safe keeping of the subject-matter. [6/4] |
| Shares | SS 12 Sharikah (Musharakah) and Modern Corporations<br>▪ It is permissible for the partners to appoint a manager other than one of the partners and pay him a fixed remuneration that will be included in the expenses of the Sharikah. [3/1/3/3]<br>▪ It is permissible for the issuer of shares to add a certain percentage to the actual value of the shares on the subscription date in order to recover issuing expenses, provided that such percentage is appropriately estimated to reflect the actual expenses incurred. [4/1/2/2] |
| Mudarabah | SS 13 Mudarabah<br>▪ --If there is no agreement on this, then the Mudarib should take living expenses in accordance with custom and reason. The Mudarib is also entitled to travelling expenses in accordance with custom and reason. [9/7] |
| Documentary credit | SS 14 Documentary credit<br>▪ It is permissible for the institution to charge actual expenses incurred in issuing documentary credit. It is also permissible for the institution to charge a fee for providing the required services, whether such a fee is in the form of a lump sum or a certain percentage of the credit amount, provided that the duration of the credit is not considered in determining the commission. This rule applies to services rendered for both import and export credit, except where the amendment involves a rescheduling of the duration of the credit facility. It is, therefore, permissible for the institution to charge only the actual expenses incurred, in which case it will be a definite sum and not a percentage. [3/3/1] |
| Financial commutative contracts like Salam, Istisna'a and others | SS 18 Possession (Qabd)<br>▪ Accordingly, the expenses of delivering the Salam commodity will be borne by the seller, the expenses of delivering the capital (Ras al-Mal) will be borne by the Rab al-Salam (the buyer); the expenses of taking possession of the leased property will be borne by the lessor, the expenses for the delivery of possession of the lease value (wages) shall be borne by the lessee; and the expenses for |

| Product / service | Expenses permissible under the AAOIFI SSs |
|---|---|
| | delivering the subject matter of Istisna'a will be borne by the manufacturer, while the expenses for the delivery of the price shall be borne by the orderer. In all these cases, if there is a customary practice or stipulation to the contrary, then, such practice or stipulation shall be observed. [4/1/4] |
| Deposit (Wadi'ah) | ▪ The expenses of deposit and withdrawal in a contract of deposit shall be borne by the depositor (the owner of the deposit). [4/3] |
| Qard | ▪ The expenses for delivery and recovery in a contract for loan, expenses that pertain to its ascertainment through one of the customary units of measure and the like, shall be borne by the borrower.<br>▪ Expenses for the drawing up of documents, promissory notes, title deeds and the like that are required for transacting a loan contract; its implementation or documentation shall be borne by the borrower. [4/2] |
| Qard | SS 19 Qard<br>▪ It is permissible to a lending institution to charge for services rendered in loans equivalent to the actual amount directly spent on such services. ---[9/1]<br>▪ Indirect expenses incurred in rendering services for loans are not included in actual expenses, like the salaries of the employees, the rentals of space, assets and means of transport as well as other management and general expenses of the institution. [9/2] |
| Shares | SS 21 Financial Paper<br>▪ It is permissible to add a determined percentage to the value of the share at the time of subscription to cover the expenses of issuance as long as this percentage is fixed and determined to be a reasonable amount. [2/2] |
| Procurement contracts | ▪ In contract of procurement agency, the price and other expenses should be borne by the principal. Besides the price of purchased commodity, the principal should reimburse the agent expenses such as those of transportation, storage, taxation, maintenance and insurance. |
| Takaful operator | ▪ SS 26 Islamic Insurance<br>▪ The managing company is entitled to its own capital and returns on capital, the agency fee, and its specific share of the profits earned by investing the insurance assets through Mudarabah or investment agency. The company also bears all the expenses of its operations including those relating to its tasks for investing the insurance assets. [3/1]<br>▪ ---The policyholders fund bears all direct expenses pertaining to management of insurance operations. [3/2]<br>▪ The company shall bear its pre-operating expenses as well as all other expenses that relate to conducting its own business or the investment of its own funds. [10/3]<br>▪ When the Company invests the policyholders' funds through Mudarabah, it should bear the expenses that are normally borne by the Mudarib --- [10/7] |

| Product / service | Expenses permissible under the AAOIFI SSs |
|---|---|
| Mortgage | SS 39 Mortgage<br>▪ The mortgagor should bear all actual expenses relating to reparation of the mortgaged asset, its maintenance and its preservation against decay. --- [3/2/10]<br>▪ ---The mortgagee should bear all the expenses relating to safekeeping, documentation and selling of the mortgaged asset, except when the two parties agree that the mortgagor should bear such expenses. [3/2/10] |
| Investment accounts | ▪ SS 40 Distribution of Profit in Mudarabah Based Investment Accounts<br>▪ The institution may charge fees (commissions) for the services of opening investment accounts.<br>▪ Expenses relating to utilization of the balances of the investment accounts by charging each operation with the direct expenses incurred in its execution. [3/1/2/2 (a)]<br>▪ The share of the balances of the investment accounts from shared expenses, excluding expenses relating to the institution's own activities. Investment accounts should also not be charged with the expenses of the tasks which have to be performed by the Mudarib. Such expenses include the expenses of the investment departments and the bodies which endorse their decisions as well as the expenses of the follow-up and accounting departments. It is also permissible to specify a ceiling for the expenses above which all the expenses are to be borne by the Mudarib. [3/1/2/2 (b)] |
| Reinsurance | SS 41 Islamic Reinsurance<br>▪ The reinsurer assumes the commitment to pay commission to the insurance company. Such commission is determined as a certain percentage of the reinsurance contributions. This amount does not represent a commission in the strict sense of the word. It is rather a contribution from the part of the reinsurer in the direct expenses borne by the insurance company, and which relate to the reinsured risks. [6] |
| Al-Wakalah Bi Al-Istithmar | SS 46 Al-Wakalah Bi Al-Istithmar (Investment Agency)<br>▪ The principal is responsible for any expenses related to the investment such as transportation, storage, taxes, maintenance and insurance. ------<br>And the investment agent is liable, as a legal entity, for any expenses related to its employees or equipment. [ 6/2] |
| Musaqat contract | SS 50: Irrigation Partnership (Musaqat)<br>▪ The worker (irrigator) and the owner are responsible for the expenses of the Irrigation Partnership in proportion to their shares, including any Takaful insurance, unless they agree otherwise. [8/2] |
| Promotional gifts and prizes | SS 55 Competitions and Prizes<br>▪ The expenses for the competition, including the reward, should be covered by the Institution out of its own funds (shareholders' funds), and not from the funds of the investment accounts. [2/3/3/1] |

| Product / service | Expenses permissible under the AAOIFI SSs |
|---|---|
| Pledged gold | SS 57 Gold and Its Trading Parameters in Shari'ah<br>▪ The pledgor shall bear all actual expenses incurred in maintaining and safekeeping the pledged gold. --- [7/1/6] |

## Appendix D: Illustrative examples of directly incurred and directly attributable costs and their classification

The following table illustrates examples of various direct (and ancillary) costs usually incurred by the Islamic financial institutions:

| Sr. No. | Cost | Category of costs / expenses | | | | |
|---|---|---|---|---|---|---|
| | | Preliminary | Contractually attributable | Direct costs | | |
| | | | | Directly incurred | Directly attributable | Incidental to ownership |
| 1 | **Service-based contracts – without any form of credit or guarantee** | | | | | |
| 1.1 | Actual expenses incurred to provide service such as fees paid to third parties | | | Yes. Service provider may pass on. | | |
| 1.2 | Salary of management, HR, procurement, IT, security, etc. | | Yes. Service provider may pass on. | | Yes | |
| 1.3 | Salary of staff processing the transaction | | | | Yes. Service provider may pass on. | |
| 1.4 | Administrative overheads | | Yes. Service provider may pass on. | | Yes | |
| 2 | **Loans and service-based contracts – with credit or guarantee** | | | | | |
| 2.1 | Salary of staff processing the transaction | | | | Service provider passes on | |
| 2.2 | Actual expenses incurred in issuing documentary credit or guarantee, e.g., fee paid to third parties | | | Yes | Yes. Service provider may pass on only to the extent approved by SSB. | |
| 2.3 | Salary of management, HR, procurement, IT, security, etc. | | | Yes | Yes | |
| 2.4 | Legal and other expenses incurred by the creditor in order to recover his debt | | | Yes | Yes. Service provider may pass on only to the extent approved by SSB. | |
| 2.5 | Administrative and overheads costs, e.g., office rent and utilities | | | Yes | Yes | |
| 3 | **Trade-based contracts** | | | | | |
| 3.1 | Purchase cost of inventory, taxes, custom duties, freight, transportation, handling, fee to agent, trade discount, rebate, etc. | | | Yes | Yes | |
| 3.2 | Cost of raw material, direct labour, processing / conversion cost, etc. | | | Yes | Yes | |
| 3.3 | Takaful, transportation and storage of inventory | | | Yes. Before transfer of control. | Yes. Before transfer of control. | |

| Sr. No. | Cost | Category of costs / expenses | | | | |
|---|---|---|---|---|---|---|
| | | Preliminary | Contractually attributable | Direct costs | | |
| | | | | Directly incurred | Directly attributable | Incidental to ownership |
| 4 | **Trade-based contracts on a cost-plus basis** | | | | | |
| 4.1 | Purchase cost of inventory, taxes, custom duties, freight, transportation, handling, fee to agent, trade discount, rebate, etc | | | Yes. Part of cost for pricing. | Yes. Part of cost for pricing. | |
| 4.2 | Cost of raw material, direct labour, processing / conversion cost, etc. | | | Yes. Part of cost for pricing. | Yes. Part of cost for pricing. | |
| 4.3 | Takaful, transportation and storage of inventory | | | Yes. Before transfer of control. Not part of cost for pricing. | Yes. Before transfer of control. Not part of cost for pricing. | |
| 5 | **Participatory ventures and Wakala ventures – chargeable to the venture** | | | | | |
| 5.1 | Mudarib's / agent's overheads, e.g., salaries of staff, office expenses and travelling expenses | | Yes. To the extent approved by SSB. | | | |
| 5.2 | Impairment, credit losses, etc. | | | Yes | | |
| 5.3 | Venture's operational costs | | | Yes | | |
| 5.4 | Fees for legal or audit services hired specifically for the venture | | | Yes | | |
| 6 | **Ijarah-based contracts – in the books of the lessor** | | | | | |
| 6.1 | Takaful, major maintenance of Ijarah asset, etc. | | | Yes | | Yes |
| 6.2 | Ijarah asset's registration fee and related costs and taxes | | | Yes | | Yes |
| 6.3 | Depreciation | | | Yes | | Yes |
| 6.4 | Ijarah asset's operational costs, e.g., fuel, utility, maintenance, minor repairs and salary of operator / driver | | | No | No | |
| 7 | **All modes, as applicable** | | | | | |
| 7.1 | Legal and documentation fee for contract | Yes | Yes | | | |
| 7.2 | Feasibility study | Yes | Yes | | | |
| | | | | | | |

## Appendix E: Brief history of the preparation of the standard

H1 The AAOIFI Accounting Board (AAB / the board) in its 31st meeting held on 1-2 Jumada I 1444H, corresponding to 25-26 November 2022 deliberated that guidance is needed on determining direct expenses, as according to Shari'ah principles only direct expenses can be charged to a customer. AAB created a working group to initiate work on developing guidance on determining direct expenses.

H2 The working group, in its 1st and 2nd meeting held on 23 Rabi' II 1447H corresponding to 15 October 2025 and 27 Rabi' II 1447H corresponding to 19 October 2025 respectively deliberated on the draft standard and proposed amendments.

H3 The amended draft standard was presented in the 44th AAB meeting held on 30 Rabi II, 1447H, corresponding to 22 October 2025. After due deliberations, the exposure draft was approved for issuance.

H4 The exposure draft of the standard was issued, after incorporation of the board and working group, comments on 10 Rajab 1447H, corresponding to 30 December 2025.